CONSUMER BEHAVIOUR

Why We Buy What We Buy

A Classroom Guide to the Psychology, Social Forces & Everyday Moments Behind Every Purchase

What Is Consumer Behaviour?

Consumer behaviour is the study of how individuals or groups select, purchase, use, and judge products and services — the psychological, social, and economic drivers behind every purchase decision.

- **What people buy**
- **Why they prefer one brand**
- **How often they purchase**
- **Where they shop**

REAL-TIME EXAMPLE

Scrolling Instagram, seeing a shoe ad, reading reviews, then abandoning the cart at checkout — that whole journey is consumer behaviour in action.

Why It Matters in Today's Market

Consumers are no longer passive. They compare prices instantly, read reviews, watch influencers, and expect brands to know what they want.

The brands that understand consumer behaviour hold a lasting advantage — it's the foundation of smarter commerce.

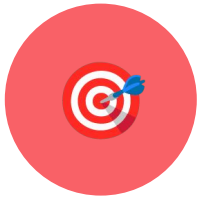
93% of shoppers say online reviews influence their purchase decisions

REAL-TIME EXAMPLE

student checks Amazon star ratings before buying earphones — and skips any product under 4 stars.

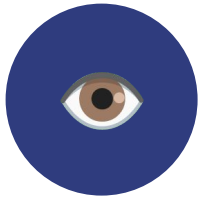
Key Drivers Behind Buying Decisions

Every purchase blends rationality and emotion — from weeks of laptop research to grabbing a snack at checkout.



Motivation

The desire or need that stirs action



Perception

How consumers read branding, price & quality



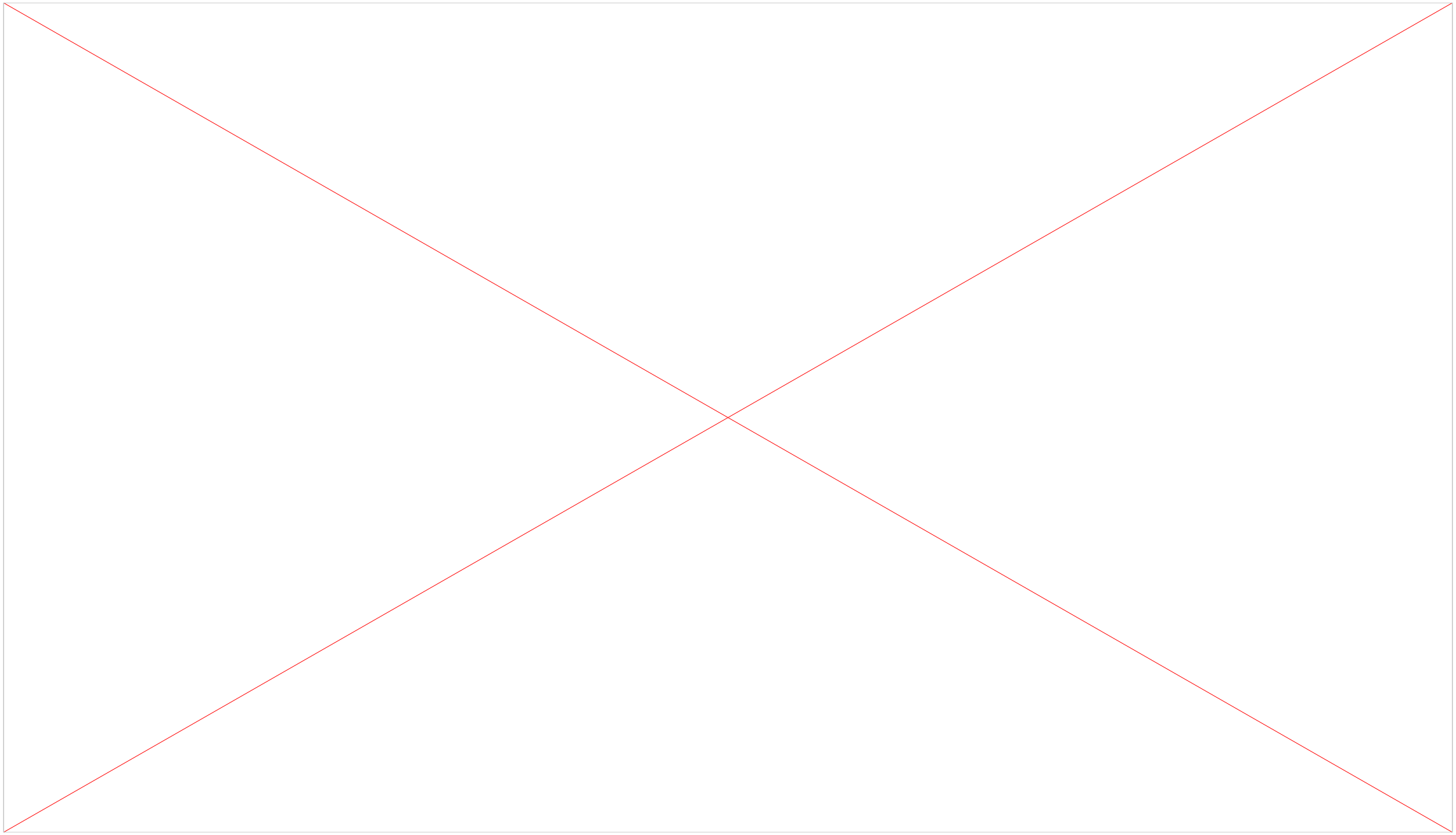
Experience

Past history with a product or company



Trust

Built through reviews, recommendations, reputation



Four Types of Consumer Behaviour

Complex Buying
High involvement, big brand differences

Example: Researching cars, homes, or laptops for weeks

Dissonance-Reducing
High involvement, few real differences

Example: Second-guessing an expensive mattress purchase

Habitual Buying
Low involvement, routine purchase

Example: Grabbing the same toothpaste, no real thought

Variety-Seeking
Low involvement, craves novelty

Example: Trying a new soft drink flavour just for fun

Factors That Shape Consumer Behaviour



Psychological

Motivation, perception, learning, beliefs



Social & Cultural

Family, friends, traditions, celebrity influence



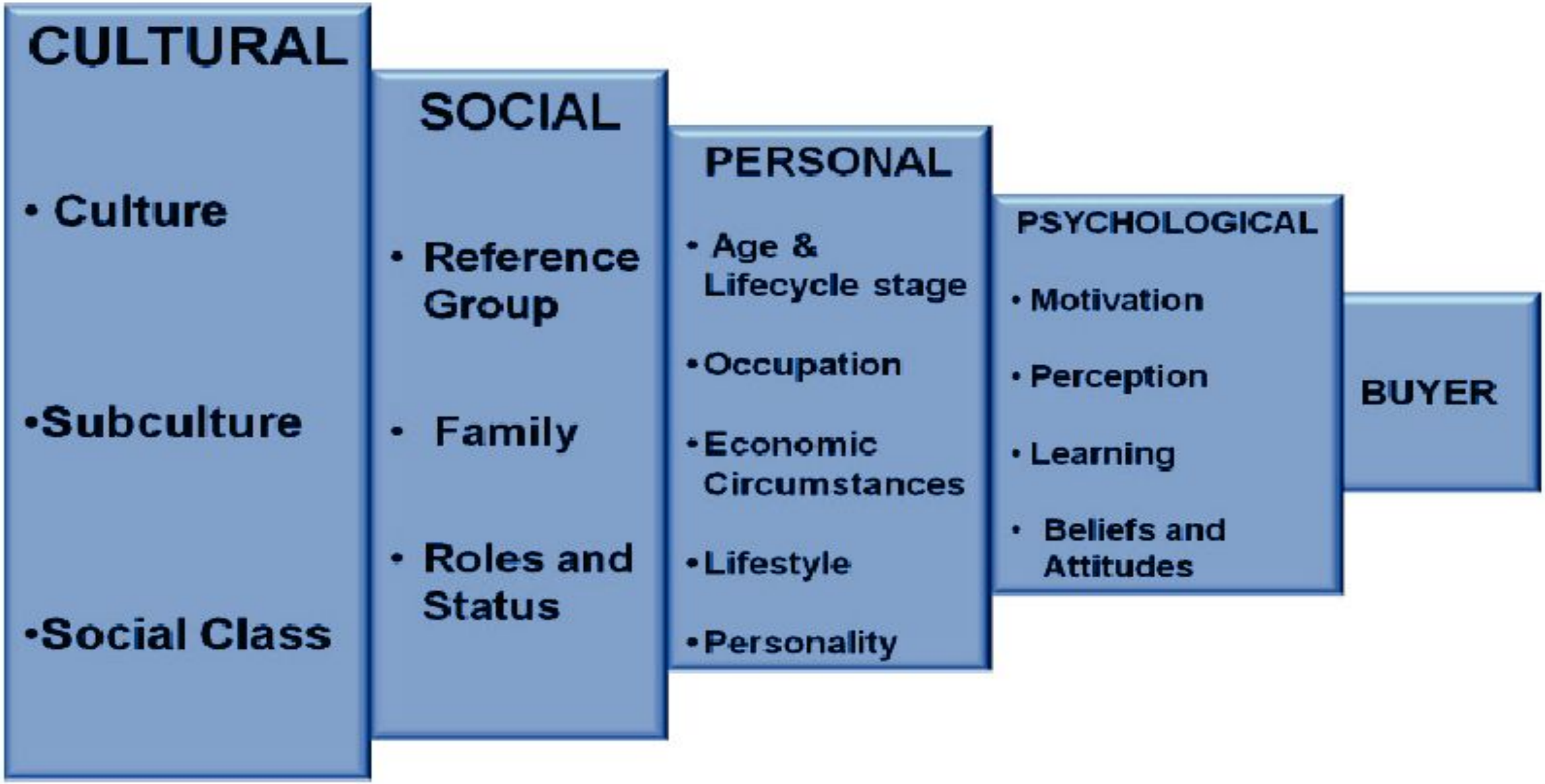
Personal & Economic

Age, income, lifestyle, inflation

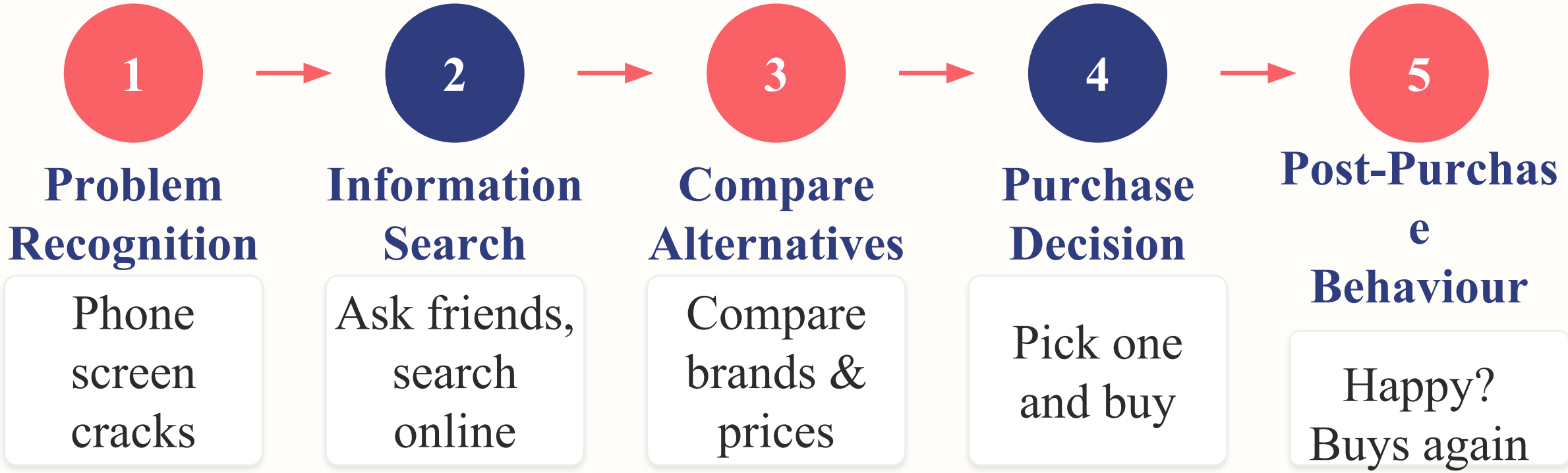


Digital & Media

Reviews, algorithms, influencer content


CULTURAL
• Culture
•Subculture
•Social Class
SOCIAL
• Reference Group
• Family
• Roles and Status
PERSONAL
• Age & Lifecycle stage
•Occupation
•Economic Circumstances
•Lifestyle
•Personality
PSYCHOLOGICAL
• Motivation
• Perception
• Learning
• Beliefs and Attitudes
BUYER

The Consumer Decision-Making Journey



Real-World Examples in Action



Price Sensitivity

A shopper switches supermarkets after grocery bills rise



Brand Loyalty

Someone rebuys the same sneakers after good past experience



Online Comparison

A buyer checks 3 brands and waits for a sale notification



Sustainable Choice

Consumers pick eco-friendly packaging despite higher cost

Importance of Consumer Behavior



Better Marketing and Communications



Improve Customer Retention



Increase Customer Loyalty



Better Plan Inventory



Increase Sales



Research Competition

Key Takeaways

01 Every purchase blends emotion and logic — not just price.

02 Four buying types call for four different marketing approaches.

03 Digital reviews and influencers now shape most decisions.

04 Knowing your customer is the real competitive advantage.

Let's Discuss

Think about your last purchase — was it complex, habitual,
or just for variety? What really drove your decision?

Discussion Prompts

- Name a brand you're loyal to — why?
- Recall a purchase you regretted — what triggered it?
- How do online reviews change your choices?

Activity: The Blind Taste & Brand TestGoal: Teach students how psychological factors, branding, and perception drive consumer behavior over objective product value.
Time Needed: 20–30 minutesMaterials:Two types of similar snacks or sodas (e.g., Name-Brand Cola vs. Generic Store Cola, or Name-Brand Potato Chips vs. Generic Chips)Small paper cupsSticky notes or voting cards

1.Step 1: Blind Tasting:5 mins.Pour Sample A (Brand) and Sample B (Generic) into unmarked cups. Ask students to taste both without knowing which is which, then vote on which one tastes better purely based on quality.

2.Step 2: The Branded Reveal:5 mins.Bring out the actual packaging for the Name-Brand item and the Generic item. Ask students: "Assuming price isn't an issue, which one would you normally buy at the store?" Take a second vote.

3.Step 3: Introduce the Price Twist:5 mins.Reveal the real price tag: Name-Brand costs $4.99, while Generic costs $1.99. Ask them to vote a third time: "Knowing the price difference, which do you buy now?"

4.Step 4: The Debrief:10 mins.Compare the three vote counts on the board. Usually, the blind test yields a 50/50 split, but the brand reveal strongly favors the name brand until the price factor kicks in.

Consumer Behavior Concepts DemonstratedThis activity lets you connect real-time classroom data directly to key core concepts:Concept
What Students Experience Perceived vs. Actual Value Realizing they liked the generic product's taste, yet preferred the brand image.Brand EquityUnderstanding how logo, marketing, and familiarity create trust and drive purchase decisions.Price Sensitivity & ElasticityWatching how demand shifts when price differences .Cognitive DissonanceThe slight discomfort students feel when their blind taste vote contradicts their brand loyalty.Pro Tip for Teachers: You can spice up this exercise by putting the generic soda inside the name-brand bottle during Step 2. When students rate the "brand" higher even though it's actually the generic liquid, it creates an unforgettable "aha!" moment about brand perception.

Activity 3:

"Launch a New Product"

Students work in groups to:

1. Select a product.
2. Identify the target consumer.
3. Analyze consumer needs and motivations.
4. Study cultural, social, personal, and psychological influences.